

CFO's Review

2025 was a year defined by measured expansion, operational strength and disciplined financial execution. Across First Mills, growth was pursued with clear financial intent, supported by robust demand, capacity investments and a continued focus on efficiency.

Alaaeldin Mohamed Shousha
Chief Financial Officer



Financial discipline. Scaled performance. Sustained value creation.

As Chief Financial Officer, I am pleased to report that the Company delivered strong financial performance while maintaining balance sheet resilience, strengthening cash generation and investing to support long-term value creation.

Our financial outcomes reflect a consistent approach. We expanded capacity where demand supported returns, strengthened portfolio mix toward higher-value products and maintained cost discipline across operations. These actions reinforced profitability, enhanced cash flow generation and positioned the Company for continued expansion in strategically important segments.

Financial performance and profitability

First Mills delivered solid financial results in 2025, reflecting both operational momentum and effective cost management. Total revenue for the year reached ₪ 1,146.4 million, an increase of 9.3% year-on-year, supported by volume growth, product mix improvements and expanded market reach across core and adjacent categories. Revenue performance was underpinned by steady demand across flour and feed segments, alongside continued portfolio diversification.

Profitability strengthened in line with operational scale and efficiency gains. EBITDA reached ₪ 402.2 million, up 7.5% year-on-year, with an EBITDA margin of 35.1%, reflecting improved operating leverage and disciplined cost control. Operating profit totaled ₪ 339.7 million, up 6.7%, while net profit attributable to shareholders reached ₪ 277.4 million for the full year, an increase of 10.6%, demonstrating the scalability of the Company's operating model and its ability to convert revenue growth into bottom-line performance. Gross margin stood at 42.1%, supported by stable direct costs, improved extraction efficiency and enhanced operational performance across production facilities.

Margin performance was further supported by portfolio optimization and higher capacity utilization, particularly in core milling operations and specialized product categories. These structural improvements continue to reinforce profitability resilience across market cycles.

Statement of Profit or Loss

₪	2021	2022	2023	2024	2025	YoY %
Revenue	801.0	913.7	964.3	1,048.9	1,146.4	9.3%
Cost of Revenue	(469.5)	(515.7)	(551.1)	(591.8)	(664.2)	12.2%
Gross Profit	331.5	397.9	413.1	457.1	482.2	5.5%
General and administrative expenses	(93.94)	(102.34)	(78.06)	(81.88)	(74.97)	8.4%
Operating (selling and distribution) Expenses	(17.8)	(39.3)	(47.8)	(55.6)	(67.8)	22.1%
Operating Profit	213.3	255.6	287.0	318.5	339.7	6.7%
EBITDA	-	-	-	374.2	402.2	7.5%
Net Profit	198.5	217.5	220.2	250.9	277.4	10.6%

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Revenue drivers and operational performance

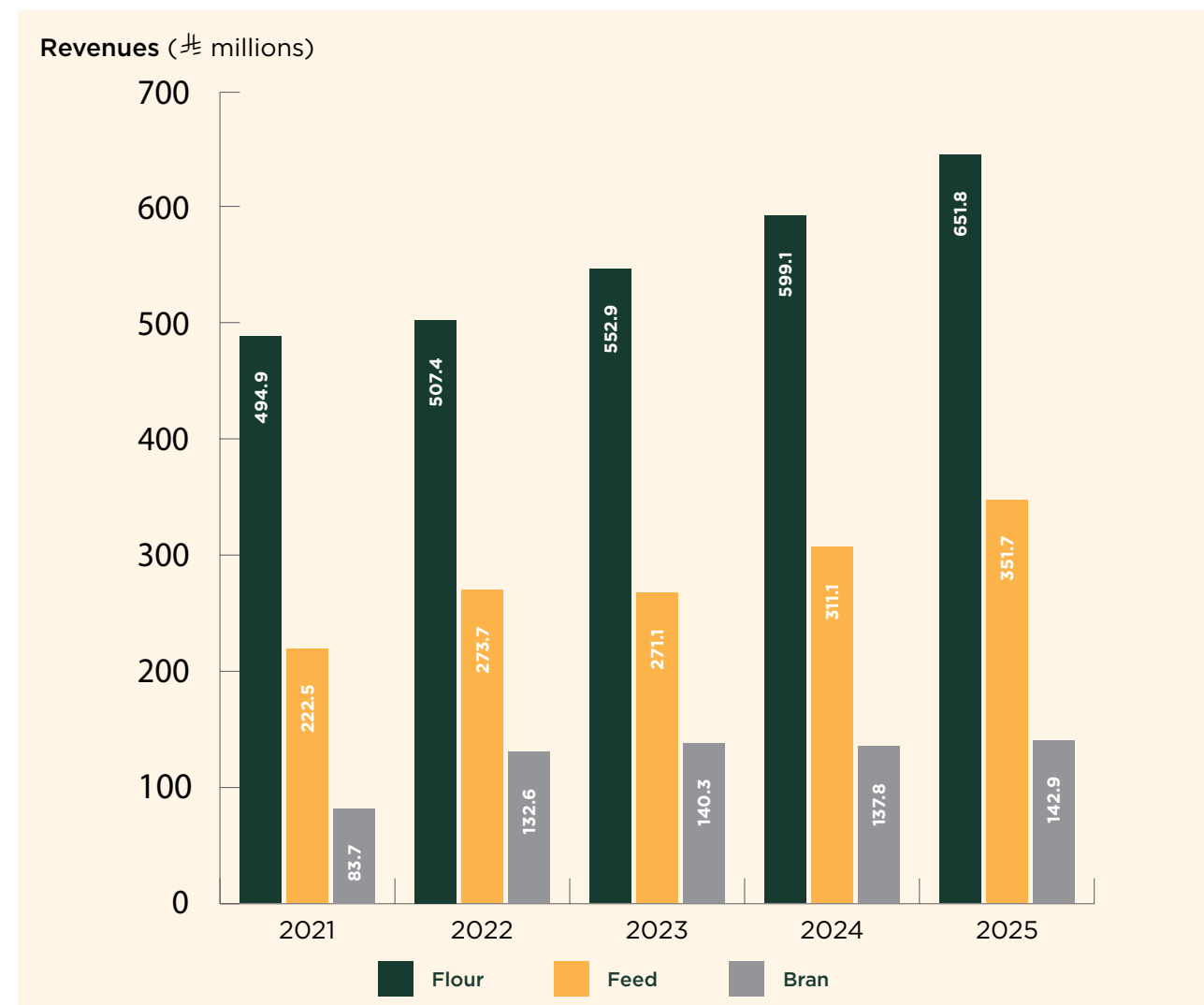
Financial performance in 2025 was supported by strong execution across the Company's operating platform. Growth reflected a combination of increased production volumes, improved product mix and sustained demand across key customer segments.

From a product perspective, diversification continued to strengthen revenue resilience. Flour remained the primary contributor at ₪ 651.8 million (56.9% of revenue), up 8.8% year-on-year, while feed revenues expanded 12.8% to ₪ 351.7 million (30.7% of revenue), reflecting strategic investment in higher-growth segments, including the Al-Manar and AATC acquisitions that scaled the Company's integrated feed platform. Bran revenues rose 3.6% to ₪ 142.9 million. This balanced product mix supports more stable revenue generation and reduces dependence on any single category.

Our 9.3% revenue growth was driven primarily by volume and mix expansion of 9.1%, with pricing

contributing 0.2%. The Flour segment achieved 8.6% volume growth despite a 0.6% pricing headwind, while Durum products delivered an exceptional 57.9% sales growth (+56.1% volume/mix), reinforcing their strategic importance. The Feed segment posted a robust 12.8% growth (+13.0% volume/mix, -0.3% pricing), supported by the Al-Manar and Al-Kenan Al-Arabia Trading Company (AATC) acquisitions. Bran volumes declined 0.4% as we strategically prioritized higher-margin feed production, demonstrating disciplined portfolio optimization.

Revenue expansion was supported by capacity additions, operational efficiency improvements and continued demand for both staple and specialized products. Production utilization remained high across major facilities, enabling the Company to meet market demand while maintaining consistent product quality and cost discipline.



Cash flow and working capital discipline

Strong profitability translated into robust cash generation throughout the year. Operating cash flow reached ₪ 342.1 million, up 11.8% year-on-year, reflecting improved earnings performance and disciplined working capital management. Free cash flow totaled ₪ 257.0 million, supporting continued investment while maintaining financial flexibility.

We maintained a strong and resilient balance sheet throughout 2025. Net debt stood at ₪ 1,247.8 million at year-end, with leverage ratios remaining within targeted levels. Net debt-to-EBITDA, with net debt excluding lease liabilities, improved to 2.1x from 2.2x in FY2024, reflecting prudent capital management and strong earnings performance. Interest coverage strengthened to 4.9x from 3.9x in the prior year, demonstrating the Company's enhanced capacity to comfortably service financing obligations.

Working capital remained tightly managed across inventory, receivables and payables. Inventory optimization and supply chain coordination supported efficient production planning and reduced holding costs, while disciplined receivables management ensured timely cash collection. These measures strengthened liquidity and supported sustainable funding of growth initiatives.

The year-over-year decline in net working capital from ₪ 43.1 million to negative ₪ 58.6 million reflects our deliberate capital allocation strategy in support of transformational growth initiatives. During 2025, we strategically deployed cash reserves toward the successful completion of two accretive

acquisitions—Al-Manar and AATC—which immediately strengthened our Feed segment platform and expanded our geographic footprint. Concurrently, we advanced construction of Mill C at Al-Qassim, positioning the Company for enhanced operational capacity and market reach. This disciplined reallocation of working capital toward high-return strategic investments, rather than maintaining excess liquidity, demonstrates our commitment to value creation and long-term shareholder returns. Importantly, our robust operating cash flow of ₪ 342.1 million—representing a 11.8% year-over-year increase—provides ample financial flexibility to support ongoing operations while funding our expansion roadmap. We remain confident that these investments will drive sustainable earnings growth and further strengthen our competitive position as Saudi Arabia's leading integrated milling platform.

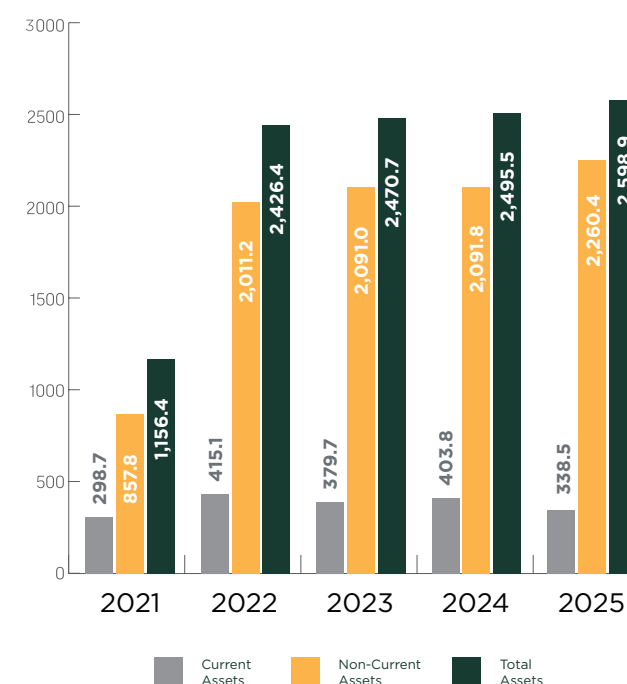
Cash generation remains a central pillar of our financial strategy, enabling continued investment in expansion while preserving balance sheet strength.

To support strategic expansion and capacity development, First Mills maintained access to long-term funding sources, including a ₪ 150 million financing facility from the Saudi Industrial Development Fund. This facility provides stable financing aligned with our growth strategy and reinforces institutional confidence in our long-term prospects.

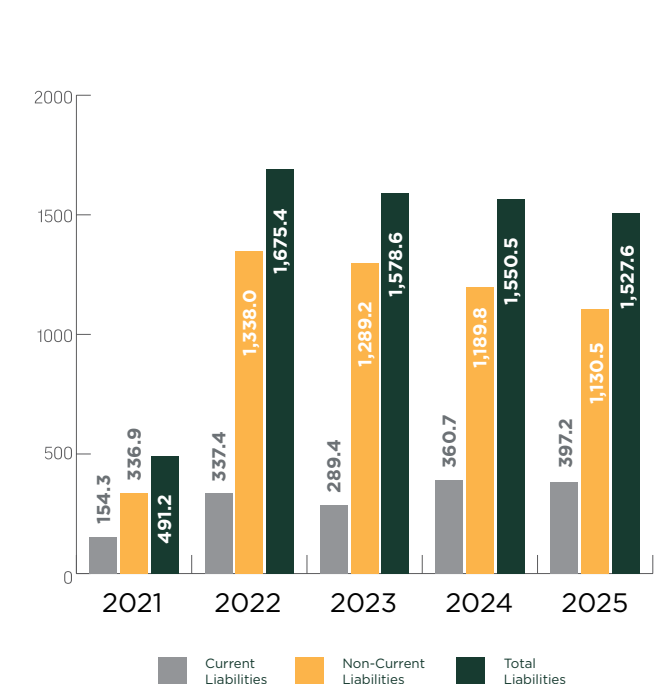
Maintaining financial resilience remains a core priority, ensuring that growth is supported by a strong capital structure and disciplined funding strategy.

Statement of Financial Position

Assets (₪)

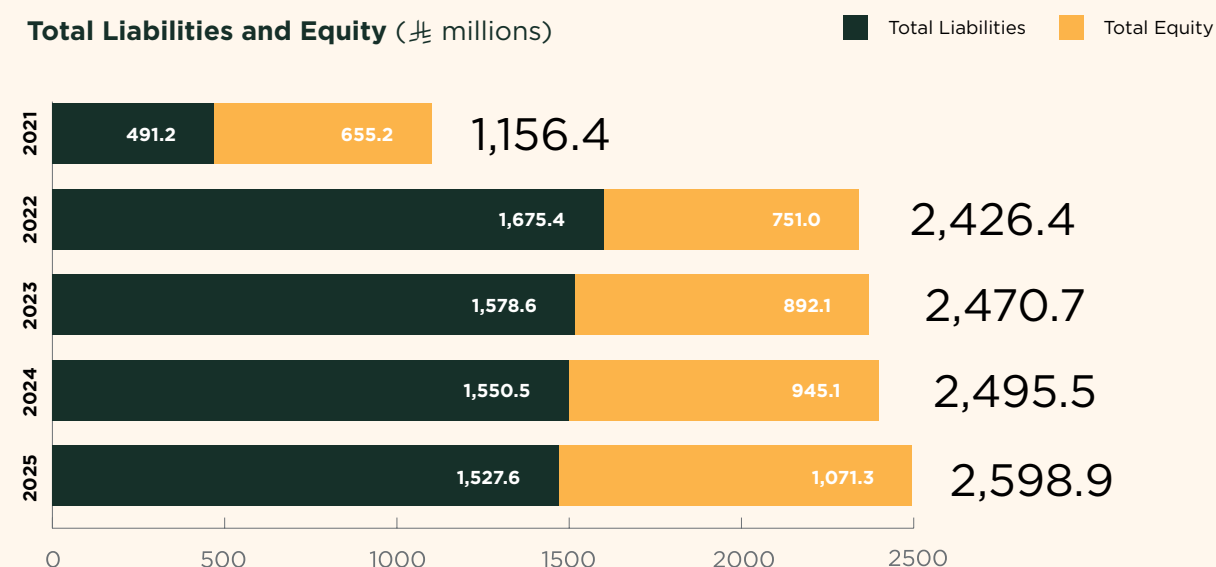


Liabilities (₪)



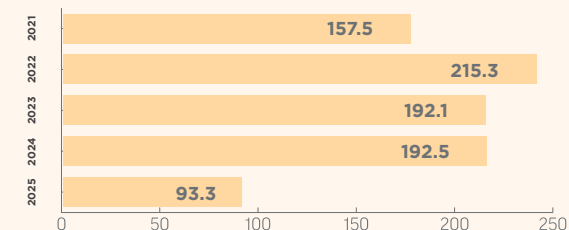
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Total Liabilities and Equity (ﷲ millions)

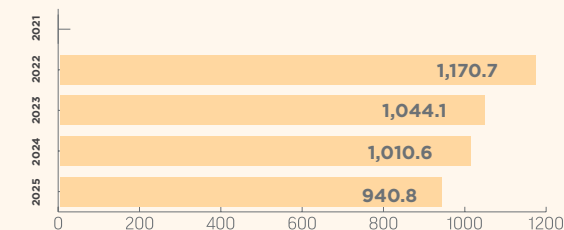


Key Balance Sheet Indicators (ﷲ millions)

Cash and Cash Equivalents



Total Loans



Capital allocation and investment strategy

Capital allocation in 2025 remained focused on projects that enhance long-term productive capacity, improve efficiency and strengthen market positioning. Capital expenditure for the year totaled ﷲ 85.1 million, directed primarily toward capacity, including the ongoing construction of Mill C at Al-Qassim, as well as operational modernization and technology deployment.

Major investments included continued development of Mill C and the strategic acquisitions of Al-Manar Feed Company and a 60% stake in AATC, designed to scale the Company's integrated feed platform. These investments are expected to enhance production capability, strengthen vertical integration and support long-term revenue growth.

Capital deployment decisions continue to be guided by return discipline, with return on equity remaining a key performance metric. ROE for the year stood at 25.9%, reflecting effective allocation of capital toward high-impact initiatives and the scalability of the operating model.

Shareholder returns and dividend policy

Delivering consistent value to Shareholders remains a central objective of the Company's financial strategy. In line with its approved dividend policy, First Mills continued to distribute cash dividends reflecting strong earnings performance and healthy cash flow generation.

Dividend distributions for the year totaled ﷲ 174 million, representing 63% of net profit attributable to shareholders. This approach balances the delivery of Shareholder returns with the need to reinvest in growth opportunities and maintain financial flexibility. First Mills remains committed to sustainable and predictable distributions supported by long-term earnings capacity.

Financial discipline, governance and risk management

Financial performance in 2025 was supported by robust governance, risk management and internal control frameworks. The Company continued to strengthen financial oversight, enhance reporting transparency and improve risk monitoring across operational and financial activities.

Enterprise risk management tools provide visibility across supply chain exposures, market dynamics and operational risks, enabling proactive mitigation and informed decision-making. Internal audit and compliance programs continue to support financial integrity and accountability across the organization.

Maintaining strong financial governance remains essential to preserving Stakeholder confidence and supporting sustainable growth.

Outlook and priorities for 2026

Looking ahead, First Mills enters 2026 with strong financial momentum, a resilient balance sheet and a well-defined investment roadmap. We will continue to prioritize capacity expansion, operational efficiency and portfolio diversification, supported by disciplined capital allocation and prudent financial management. Strategic initiatives over the next three years are expected to further strengthen our competitive positioning and long-term earnings trajectory.

Key financial priorities include sustaining profitability growth, strengthening cash generation, maintaining balance sheet resilience and optimizing returns on invested capital. Continued investment in automation, digitalization and operational optimization will support further efficiency gains, while strategic expansion initiatives are expected to enhance long-term earnings potential.

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With a strong financial foundation, scalable operating platform and disciplined approach to capital deployment, First Mills is well positioned to deliver sustained financial performance and long-term value creation.

Alaaeldin Mohamed Shousha
Chief Financial Officer